BUDGET NARRATIVE

Program	Food for Progress
Country	Colombia
Fiscal Year	2024
Organization	Partners of the Americas, Inc. – UEI # DD5WNYRUYFE5
Point of Contact	Sheila Posas, sposas@partners.net

I. General Explanatory Comments

Partners of the Americas Inc. (POA) will implement a 7.5-year Food for Progress (FFPr) Program project in Colombia- the original 5-year award and the 2.5-year merit extension award. The merit extension commodity cost is **$9,000,000**. POA is not requesting CCC funds for the merit extension. The total federal award amount is **$42,795,750.** This includes commodities (**$30,924,000**), freight (**$9,591,750**), and administrative costs (cash portion) (**$2,280,000**). The total operating budget (grand total costs) for this project is **$33,320,792**; this includes **$1,977,928** in cost share. POA expects interest on proceeds to be **$932,916**. This budget narrative describes the operating budget, it does not describe the commodity and freight. The budget focuses on details for the merit extension period. The budget and budget narrative include a substantial budget realignment, therefore most of the text in this budget narrative was updated. As such, please note that POA did not highlight the changes made to the budget narrative as requested in the NOFO. POA understands that the costs incurred over the entire life of the agreement may be reviewed to ensure compliance with the Cost Principles, 2 CFR 200, and 7 CFR 1499. This includes prior versions of the project budget and any approved revisions to the budget.

Overall Operating Budget Summary	
Gross Monetization Proceeds	$28,129,948
Expected Interest	$932,916
CCC Admin Funds	$2,280,000
Cost Share	$1,977,928
Total Project Operating Budget	**$33,320,792**

Summary of Total Indirect Costs Applied	
Year 1 – Year 4	
Total Indirect Costs - Administration	$1,023,613
Total Indirect Costs - Activities	$1,350,658
Year 5 – Year 8	
Total Administration Direct Costs	$2,845,668
Total Activities Direct Costs	$14,052,034
Less $3 Million Investment Vehicle (Seed Funding)	*- $3,000,000*
Revised Total Activities Direct Costs	$11,052,034
Indirect Costs Applied on Administration (28.28%)	$804,755
Indirect Costs Applied on Activities (28.28%)	$3,125,460
Total Indirect Costs	**$6,304,486**

Summary of Total Project Operating Budget (includes Cost Share)	
Administration	$6,355,224
Activities	$20,661,082
ICR on Administration	$1,828,368
ICR on Activities	$4,476,118
Total	**$33,320,792**

Summary of M&E Budget (excluding M&E Personnel & Travel)	
Evaluations (Baseline, Midterm, & Final)	$561,978
Value Chain Analysis, Carbon Assessment, and Living Incomes	$618,290
Monitoring Guidelines Creation, Translation & Printing	$6,000
Monitoring Guidelines Staff Training on Indicators and Data Collection/Analysis	$20,464
M&E Database Platform Subscription	$117,894
Total M&E Budget	**$1,324,625**
Total % of Budget Dedicated to M&E (excluding Cost Share)	**4.23%**

Budget by Partner						
	Total USDA Project	Direct Costs	Direct Costs %	Indirect Costs	Cost Share $	% of Direct Funds by Partner
Prime: POA	$32,318,199	$24,035,785	72.13%	$6,304,486	$1,965,709	78.03%
Subrecipient: Fundación Julio y Astrida Carrizosa ONG (IC Fundación)	$1,002,593	$953,996	2.86%	$48,596	$12,219	2.90%

Budget by Activity						
	Total USDA Project	Direct Costs	Direct Costs %	Indirect Costs	Cost Share $	% of Direct Funds by Activity
Administration	$8,183,593	$6,355,224	19.07%	$1,828,368	$0	19.07%
Activity 1	$352,228	$272,697	0.82%	$79,532	$0	0.82%
Activity 2	$3,152,068	$2,209,930	6.63%	$629,919	$312,219	7.57%
Activity 3	$10,538,868	$7,469,425	22.42%	$2,129,853	$939,591	25.24%
Activity 4	$2,703,803	$1,992,268	5.98%	$569,606	$141,929	6.40%
Activity 5	$2,003,732	$1,105,174	3.32%	$314,368	$584,190	5.07%
Activity 6	$1,053,848	$819,624	2.46%	$234,223	$0	2.46%
Activity 7	$1,637,495	$1,274,251	3.82%	$363,244	$0	3.82%
Activity 8	$3,695,213	$3,539,785	10.62%	$155,428	$0	10.62%

Budget by Activity and Subrecipient						
Prime: POA						
	Total USDA Project	Direct $	Direct Costs %	Indirect Costs	Cost Share $	% of Direct Funds by Activity and Subrecipient
Administration	$8,183,593	$6,355,224	19.07%	$1,828,368	$0	19.07%
Activity 1	$352,228	$272,697	0.82%	$79,532	$0	0.82%
Activity 2	$2,149,475	$1,255,935	3.77%	$629,919	$300,000	4.67%
Activity 3	$10,538,868	$7,469,425	22.42%	$2,129,853	$939,591	25.24%
Activity 4	$2,703,803	$1,992,268	5.98%	$569,606	$141,929	6.40%
Activity 5	$2,003,732	$1,105,174	3.32%	$314,368	$584,190	5.07%
Activity 6	$1,053,848	$819,624	2.46%	$234,223	$0	2.46%
Activity 7	$1,637,495	$1,274,251	3.82%	$363,244	$0	3.82%
Activity 8	$3,695,213	$3,539,785	10.62%	$155,428	$0	10.62%
Subrecipient: Fundación Julio y Astrida Carrizosa ONG (IC Fundación)						
	Total USDA Project	Direct $	Direct Costs %	Indirect Costs	Cost Share $	% of Direct Funds by Activity and Subrecipient
Activity 2	$1,002,593	$953,996	2.86%	$48,596	$12,219	2.90%

Program Income and/or Anticipated Interest Earned on Monetization Proceeds

From Y1-Y4, expected interest earned on monetization proceeds is **$639,678**. For Y5 -Y8, POA expects anticipated interest earned on monetization proceeds to be an additional **$293,238** for a

total of **$932,916** over the life of the project (LOP). POA has the monetization proceeds in an interest-bearing account with Bank of America, which has an interest rate of 3.5% starting in August 2023, and the assumption is that this rate will be fixed through the remaining LOP. To determine the additional interest to be earned, POA has taken the initial monetization proceeds, plus the expected merit monetization proceeds, plus the compound interest rate, less the disbursement made from the account for the monthly expenses.

Management of Monetization Proceeds

For the merit extension, payment will be secured and received from the buyer(s) through an irrevocable Letter of Credit from a bank(s) acceptable to POA. Upon receipt, POA will deposit the funds into a separate US-based interest-bearing U.S. dollar account under the supervision of POA's CFO, who will be responsible for the disbursement of funds once approval has been received from the Senior Program Director. Funds from the monetization proceeds will only be disbursed when an immediate cash-need for project activities. POA's CFO and Controller oversee core functions related to award administration, accounting, internal controls, and financial reporting, with additional compliance support from the Grants and Contract Compliance Unit. The Grants and Compliance Unit will conduct periodic compliance spot checks and annual internal audits with POA and contractors. Annually POA undergoes a formal external audit, in which all bank accounts and release of funds are tested.

Budget Assumptions and Cost Escalations

POA established a local hire pay scale for Colombia in accordance with market rates for the level of experience and education required. The salary scale aligns with comparable organizations and projects, information from in-country research, and market analysis for similar positions and experience levels. POA has applied a 5% increase to account for inflation and merit-based salary increases for U.S. Nationals (USN)/Third Country Nationals (TCN), Headquarters (HQ), and Cooperating Country National (CCN) staff after Year 1 (Y1), in accordance with POA policy. Expenses for travel and office supplies include a yearly escalation to account for inflation after Y1. Inflation is estimated at 4% annually after Y1 for Colombia and 3% for the U.S.

Travel costs for domestic in-country travel and per diem rates are budgeted based on local prevailing transportation, and lodging costs in Colombia and a reduced rate of the U.S. Department of State per diem thresholds. International air travel is budgeted based on the prevailing cost of economy-class tickets for the proposed routes and will be Fly America Act compliant. The international lodging and per diem rates budgeted are based on a reduced U.S. Department of State lodging rate and POA's prior experience.

Financial Capacity

POA has established sound financial management and internal control systems, ensuring expenditures are reasonable, allowable, and classified in accordance with generally accepted accounting principles (GAAP). POA uses cloud-based accounting software and is subject to an annual single audit. The Finance and Administration (F&A) department is staffed with professionals with over 40 years of combined experience in finance, accounting, auditing, and managing financial reporting for federal grants, contracts, and cooperative agreements. The F&A department comprises a Chief Financial Officer (CFO), Controller, Director of Compliance, Budget Analyst, Finance Officer, and two Senior Field Finance Officers. The F&A team works closely with project staff to monitor spending, ensure that all costs are reasonable and allowable,

and support project staff implement activities in accordance with USG rules and regulations (particularly 2 CFR 200), local laws, and internal policies. Our F&A department reviews spending monthly, oversees contracts, and other aspects of project monitoring.

Cost Application Methodology

POA uses a robust and cost-effective strategy to determine cost allocation in accordance with USG cost principles, local laws, and internal policies. Our proposed budget for this project was developed by conducting thorough price analyses to identify reasonable, realistic, and fair market values for all projected expenses. Our budget estimates were also calculated based on past experience implementing effective and cost-efficient USG-funded programs. Indirect costs have been applied in accordance with POA's most recent NICRA agreement. In preparing the budget, POA has minimized administrative and support costs for managing the project to the extent possible to maximize the funds available for project activities, while ensuring overall award compliance. As a result, 64% of the operating budget (including cost share) will be directed towards activities and 36% towards administration and indirect costs.

Budget Components and Project Implementation

The budget allocated to each C4D activity will allow for effective project implementation. POA's budget uses rigorous evidence and references previous costs of similar projects implemented in Colombia by donors such as the World Bank, the United Nations International Fund for Agriculture Development, and USAID. In ***Activity 2,*** POA will provide capacity-building grants for organizational development and connect target producer organizations to market opportunities and access to finance. IC Fundación will implement tailored capacity-building action plans with producer organizations. In ***Activity 3,*** POA will conduct a mapping and diagnosis of existing EPSEAs[1] approved by the Agency of Rural Development, build EPSEA's capacity to address sustainability gaps, collaborate with Fedecacao to adapt and integrate C4D's innovative extension model, expand extension services, implement a cacao crop renewal initiative, enhance and expand the farm management and marketplace digital tools, establish additional demonstration plots for complementary crops like Tabasco pepper and plantain, diversify farmers' income by planting complementary crops, and provide technical assistance and irrigation systems. In ***Activity 4,*** POA will strengthen farmer and producer organization capacity to produce cacao of consistent premium quality and expand market opportunities, adapt a technology to support cacao fermentation control and provide the technology to fermentation centers, partner with the FCIA to reinforce Colombia as a source of fine flavor cacao and establish commercial links between association members and Colombian suppliers, and continue supporting local fine flavor competitions. In ***Activity 5,*** POA will provide subsidized insurance to producers; incorporate C4D's farm segmentation data into FINAGRO's online tool, which provides inputs to member microfinance institutions and cooperatives to evaluate agricultural loan risk; partner with social and commercial lenders to pilot the C4D farm segmentation data as an additional input to evaluate lending risk; connect farmers with local community banks, cooperatives, and financial institutions savings and financial literacy trainings. In ***Activity 7,*** POA will foster further regional participation in the RCP; organize annual RCP events to showcase Colombian and Latin American cacao internationally; establish a

[1] Acronyms in this section are defined in the Concept Note

Latin American and Caribbean (LAC) forum among regional cacao stakeholders to coordinate actions and investments along the value chain; strengthen the capacity of local actors to work together to expand national and regional coordination, participate in important national and international forums in the cacao sector; and invite young leaders to participate in forums, conferences, and international exchanges with Latin American and Caribbean cacao sector entities. POA is confident that all activities are appropriately funded to ensure quality implementation of proposed activities.

Cost Effectiveness

In compliance with the NOFO requirements, POA's budget is organized by activity and apportions costs for implementing the project's eight activities under the current award and five activities under the merit extension. Budget components were designed to build long-term human capital and leverage private sector resources. The demand-based nature of activities and keen interest from the government and private sector to support and sustain activities makes the project cost-effective. Studies and information made available through the project will incentivize the private sector to co-invest in activities and ensure the long-term viability of any USDA investment. Funds will be dispersed with precision, deferring to data-driven spending decisions. POA anticipates that funds spent on new linkages will exponentially increase agriculture sector output and trade, creating a high return for stakeholders.

II. Administration

The total amount spent from project inception through Year 4 (October 2020-September 2024) is included under each budget line. However, any detailed breakdown of budget costs reflects spending planned from Year 5 through Year 8 (October 2024-March 2028).

Total Administration Costs: $8,183,593 ($5,903,797 in monetization, $2,280,000 in CCC funds, $0 in cost share)

- **Total Direct Costs: $6,355,224** ($4,583,525 in monetization, $1,771,699 in CCC funds)
- **Total Indirect Costs: $1,828,368** ($1,320,067 in monetization, $508,301 in CCC funds)

Total Administrative Costs from inception through Y4:

- **Total Direct Costs: $3,509,752** ($1,738,053 in monetization, $1,771,699 in CCC funds)
- **Total Indirect Costs: $1,023,613** ($515,312 in monetization, $508,301 in CCC funds)

Total Administrative Costs Y5-Y8:

- **Total Direct Costs: $2,845,669** ($2,845,669 in monetization, $0 in CCC funds)
- **Total Indirect Costs: $804,755 (**$804,755 in monetization, $0 in CCC funds)

2.1 Salaries/Personnel - Total $1,782,931 ($1,352,931 monetization, $430,000 CCC funds)

(Total spent in Y1-Y4: $933,269 / Y5-Y8: $849,663)

USN/TCN Staff. USN/TCN benefits are budgeted at 100% LOE for the Chief of Party (COP). The COP is an expatriate who has led the project during the last 3.5 years and holds the necessary experience and technical expertise. The COP will oversee the Deputy Chief of Party, Sr. Finance and Operations Director, and Sr. Director of M&E, prepare reports and work plans, align project initiatives with in-country priorities, and ensure project compliance with federal regulations. The COP's salary is distributed between Administrative and Activities. A 5% annual adjustment through the LOP accounts for annual salary increases. The COP will transition out of the project at the end of Y7 to allow the proposed Deputy Chief of Party

(DCOP) to assume the COP position. The goal of this transition is to strengthen local capacity and transition the project to be fully locally led and implemented.

CCN Staff. Budgeted at 100% LOE for the current award (Y5) and merit extension period, the Key Personnel DCOP position will be filled by a Colombian national with more than 10 years of experience. The DCOP will be a blended position assumed by the current Value Chain Strengthening Director. The DCOP will be trained and mentored by the expatriate COP so that they can assume the COP role in Y8. The DCOP will oversee the Technical Director and Director of Partnerships and Investments. The DCOP is responsible for ensuring technical quality in the design and implementation of project activities. Other CCN staff include a Technical Director, Sr. Lead Cacao Specialist, Sr. M&E Director, Sr. M&E Specialist, M&E Specialist, M&E Officer, Partnerships and Investment Director, Partnerships and Investment Specialist, Organizational Strengthening Specialist, Communications Specialist, Value Chain Specialist, Contracts & Compliance Director, 2 Grants and Procurement Specialists, Sr. F&O Director, Accounting & Finance Specialist, Accountant, F&O Coordinator, Administrative Officer, Human Resources Manager, and Human Resources Specialist. The CCN staff salary is distributed between Administrative and Activities as appropriate for each role. The proposed salary rates are in line with market research and local in-country consultations were conducted by POA. A 5% annual adjustment through the LOP accounts for annual salary increases.

Headquarters (HQ) Staff. POA HQ salary rates are based on the current annual salaries of staff, POA's salary matrix, and industry benchmarking surveys. The POA HQ team will be led by the Senior Program Director, who oversees the HQ team in the project's interventions, providing expert compliance and technical support. The HQ Associate Director will serve as the primary day-to-day support to the field team, with assistance from the HQ Senior Program Officer. A 5% annual adjustment through the LOP accounts for annual salary increases.

2.2 Fringe Benefits – Total $961,183 ($735,535 in monetization, $225,648 in CCC funds)

(Total spent in Y1-Y4: $553,964 / Y5-Y8: $407,219)

Fringe Benefits – HQ and USN/TCN ($310,562) *(Y1-Y4: $163,355 / Y5-Y8: $147,205)*: Fringe benefit costs are budgeted in accordance with POA's personnel policy and NICRA letter. POA has charged a 23.47% fringe rate on HQ (Y5-Y8: $127,157). HQ fringe benefits include insurance, mandatory taxes, pension, and other employee benefits. Additionally, POA budgeted a 56.47% fringe rate for the expatriate COP, based on POA's standard policy on fringe benefits for expatriates (Y5-Y8: $20,049). The fringe benefits include international health insurance, international dental insurance, life insurance, disability insurance, accidental death & dismemberment, mandatory payroll taxes for both the US and Colombia, and pension. The breakdown of the percentage is as follows:

Expatriate COP Benefit	Percentage
U.S. Payroll Taxes	7.86%
Medical Insurance	9.04%
Life Insurance	0.14%
AD&D and Disability Insurance	0.16%
Retirement Pension	6.17%
Transportation Benefits	0.10%

Colombian Taxes	33%

Fringe Benefits CCN Colombia ($394,614)*(Y1-Y4: $259,770 / Y5-Y8: $134,843)*: Fringe benefits for CCN staff are budgeted at 53.864% for salaries over $3,500/month (Y5-Y8: $75,887) and at 44.864% for salaries below $3,500/month (Y5-Y8: $59,156). These percentages are based on local labor law, in-country required benefits, and POA's fringe benefit policy. This includes:

- 8.33% for severance aid (*cesantías*) on annual income
    - The amount of the severance payment differs in several factors such as seniority, type of contract and amount of the salary. Severance accruals are billed quarterly to the project and are paid out to the employee upon separation. For CCN Colombia staff, POA follows the requirements set by Colombian law.
        - For employees who earn a salary less than 10 legal monthly minimum wages:
            - For service up to 1 year = 30 days of salary
            - More than 1 year of continuous service = 20 additional days in addition to the 30 days of salary for each of the years of service subsequent to the first and proportional in nature.
        - For employees who earn a salary equal to or greater than 10 monthly legal minimum wages:
            - For service up to 1 year = 20 days of salary
            - More than 1 year = 15 additional days in addition to the 20 days of salary for each of the years of service subsequent to the first and proportional in nature.
- 1% interest on severance aid on annual income
    - In addition to the severance aid, according to Colombian Law 50 of 1990, employees who earn ordinary salary are also entitled to "Interest on the Severance Aid." Together with the severance payment, the employee is entitled to receive annual interest of 12% percent on the severance aid. This amount is deposited in the personal bank account of the employee. It has to be paid by January 31st of each year using the rate of the severance accrued during the immediately preceding year (Article 1, Law 52 of 1975). To calculate for proportional time, the employer takes the severance earned in the prior year, multiplied by the days worked (assuming an average of 30 days per month if full month is worked) times 12% and then divided by 360 days. This benefit is due upon termination of employment in proportion to the time worked during the calendar year in which the termination takes place, unless a loss in eligibility of severance aid occurs.
- 5.66% for vacation (15 days of vacation/265 working days a year) on annual income
- 8.33% bonus (*prima legal de servicios* or 13th & 14th month bonus) on annual income
- 8.5% health insurance (*aporte a salud*) on annual income
- 12% pension (*aporte a pensión*) on annual income
- 1.044% workers compensation (*Riesgos Laborales* - Level II) on annual income

For salaries above $3,500/month, two additional benefits are included in the fringe rate:

- 3% for the Colombian Institute of Family Welfare (ICBF) on annual income
- 2% for National Learning Service (SENA) on annual income

- 4% Family Welfare Fund (*caja de compensación*) on annual income

Allowances – USN/TCN Staff ($256,007) *(Y1-Y4: $130,838 / Y5-Y8: $125,169)*: Allowances for USN/TCN staff are budgeted based on allowance rates from the US Department of State Office of Allowance and POA USN/TCN fringe benefit policy. This includes:

- Post Hardship – 15% of total salary (Y5-Y8: $5,326)
- Housing Allowance - $3,000/month (Y5-Y8: $112,378)
- Reallocation & Demobilization Allowance - $2,584/year (Y5-Y8: $2,795)
- Annual Home of Record - $1,100/year (Y5-Y8: $4,671)

2.3 Travel – Total $298,003 ($258,899 in monetization, $39,104 in CCC funds) *(Total spent in Y1-Y4: $101,665 / Y5-Y8: $196,339)*

International Travel ($47,759) *(Y1-Y4: $20,782 / Y5-Y8: $26,977)*: POA HQ staff will make 16 international trips to Colombia during the merit extension period to provide monitoring, oversight, and technical guidance. The LOP total HQ staff international travel cost (airfare) estimate is $25,730. Colombia staff will make 16 international trips to hold meetings, attend technical training, and attend conferences, for an LOP total of $22,028.

Colombia staff (mainly the COP) will travel internationally to carry out fundraising meetings and conduct yearly program management trips to DC to review project progress and quality of activities, meet with the donor, and align and share knowledge with other POA projects to improve project implementation and goal achievement.

Local Travel ($50,055) *(Y1-Y4: $34,433 / Y5-Y8: $15,622)*: POA estimates 32 local trips at $100/trip for HQ and Colombia staff international travel, for an LOP total of $5,372. Colombia staff will make 117 domestic trips at $100/trip to attend training courses and meetings and perform M&E and data collection, for an LOP total of $44,684.

Vehicle Fuel ($17,808) *(Y1-Y4: $9,641 / Y5-Y8: $8,167)*: POA budgeted $200/month for vehicle fuel expenses for 2 vehicles. The total vehicle fuel cost estimate is $17,808.

Per Diem ($182,382) *(Y1-Y4: $36,808 / Y5-Y8: $145,572)*:

International Travel – HQ Staff: POA budgeted $286/day in lodging, and meals and incidental expenses (M&IE) for 4 trips/year of 5 days each. POA also estimates $25/trip for 16 trips in other travel costs (visa, insurance, etc.). The LOP total is $38,661.

International Travel – Colombia Staff: POA budgeted $260/day in lodging and M&IE for 4 trips/year of 10 days each. POA estimates $25/trip for 16 trips in other travel-related costs. The LOP total is $52,463.

Local Travel – Colombia Staff: POA budgeted $157/day in lodging and M&IE for Colombia staff for 36 trips per year of 4 days each. The LOP total is $91,257.

2.4 Professional Services/Contractual – Total $2,425,524 ($1,563,377 in monetization, and $862,147 in CCC funds) *(Total spent in Y1-Y4: $1,469,246 / Y5-Y8: $956,278)*

Professional Services

Monetization Agent Fee ($737,975) *(Y1-Y4: $512,975 / Y5-Y8: $225,000)*: The Monetization Agent fee is estimated at 2.5% of monetization proceeds which are expected to be $9,000,000. The total fee for Y5 is $225,000.

Monetization Impact Assessment ($47,919) *(Y1-Y4: $47,919 / Y5-Y8: $0)*: No additional costs are budgeted for Y5-Y8.

Support Services ($315,005) *(Y1-Y4: $117,056 / Y5-Y8: $197,950)*: POA budgeted for expenses related to support services over the LOP, directly attributable to the project. This includes payroll, accounting, and local audit costs ($71,806); legal fees/services ($39,850); security services, risk assessments, and security assessments ($87,500); and HQ consultants & advisory support services ($115,849). The legal fees will be for consultations regarding labor contracts (issues, terminations, etc.) and to comply with local legislation to receive cost-share from local project partners.

The security services listed refer to services acquired to ensure the safety of project personnel and participants in the field. This includes security monitoring, reporting, and contingency plans for any imminent threats to the security of our staff, activities, or beneficiaries in the field.

The HQ consultants and advisory support services will be for specific, project-wide consultant services as needs arise, including specific communications support that is beyond the scope and skill-level of the C4D Communications Specialist, data analysis beyond the scope of our regular M&E strategy and team, among others.

Evaluations

Evaluations ($561,978) *(Y1-Y4: $170,441 / Y5-Y8: $391,537)*: POA estimates external evaluation fees for Midterm and Final Evaluations to be $185,000 and $225,000, respectively. POA will host an open procurement to select external evaluators. POA will consider factors such as the soundness of the proposal, unique capabilities, cost, delivery schedule, technical competency, experience in Colombia, etc.

Special Studies ($618,290) *(Y1-Y4: $542,899 / Y5-Y8: $75,391)*: POA budgeted $31,587 to close out the contracts for the Carbon Assessment and Value Chain Analysis during Y5. POA also budgeted $43,804 in Y7 to conduct the Endline Living Income Assessment.

Monitoring Guidelines Development ($26,464) *(Y1-Y4: $64 / Y5-Y8: $26,400)*: POA budgeted $6,000/document in Y5 to update M&E guidelines, including the cost of creating, translating, and printing. POA also budgeted a workshop per year in Y5-Y7 to train staff on indicators, data collection, and the M&E guidelines at $6,800/workshop, this includes room rental ($1,200), as well as airfare ($2,700), lodging ($1,700), and other travel-related costs and per diem ($1,200) for 10 staff members traveling from outside Bogotá.

M&E Database ($117,894) *(Y1-Y4: $77,894 / Y5-Y8: $40,000)*: POA budgeted $10,000/year in Y5-Y8 to cover annual subscription fees for the Smartsheet platform for the project M&E database.

2.5 Equipment – Total $72,554 ($0 in monetization and $72,554 in CCC funds) *(Total spent in Y1-Y4: $72,554 / Y5-Y8: $0)*: No additional costs are budgeted for Y5-Y8.

2.6 Office Expenses – Total $529,757 ($448,367 in monetization and $81,390 in CCC funds) *(Total spent in Y1-Y4: $220,652 / Y5-Y8: $309,105)*: POA budgeted $4,000/month in rent for its country office in Bogota (Y5-Y8: $176,834). Another $2,900/month is budgeted for courier fees and postage services; email and internet; baking and cash handling fees; office meeting expenses and IT/communications; and licenses and subscriptions (Y5-Y8: $119,377). Another $3,500/year for recruitment and advertising (Y5-Y8: $12,894). Meeting expenses include room rental space and A/V equipment rental for small meeting rooms that would be rented by the hour. Average hourly estimate for these rental spaces is $10/hour. Estimated rates are based on POA's historical program experience and current market rates locally in Colombia.

2.7 Office Supplies – Total $200,553 ($159,457 in monetization and $41,096 in CCC funds) *(Total spent in Y1-Y4: $107,936 / Y5-Y8: $92,617)*: POA plans to purchase 2 additional desktop/laptop computers at $1,250/laptop and 2 tablets at $850/tablet for rural data collection under the new period of performance for a total of $4,200.

Office Supplies ($157,464) *(Y1-Y4: $69,047 / Y5-Y8: $88,417)*: POA budgeted $2,000/month in office supplies and personal protective equipment (PPE) for 42 months. Office supplies include notebooks, pens, calculators, office bags, clip files, registers, photocopy paper, flip chart paper, markers, transparency paper, flip chart boards, etc. Additionally, the supplies cost cover materials, uniforms, masks, gloves, and safety gear required for the extension agents. POA estimates are based on experience and market research.

2.8 Other – Total $84,719 ($64,959 in monetization and $19,760 in CCC funds) *(Total spent in Y1-Y4: $50,466 / Y5-Y8: $34,252)*

Training, Workshops, Conference and Registration Fees ($58,704) *(Y1-Y4: $39,595 / Y5-Y8: $19,109)*: POA budgeted for staff to attend 3 trainings, workshops, and/or conferences per year at $1,500/event. The costs will cover training, workshops, and/or courses on USG Rules and Regulations, program management, and technical conference, and registration fees as necessary for the successful implementation of the project.

Maintenance ($9,314) *(Y1-Y4: $2,770 / Y5-Y8: $6,544)*: POA estimates equipment and office repairs and maintenance at $500/year for Y5-Y8 and vehicle maintenance at $100/month for 12 months in Y5-Y7 and 6 months in Y8.

Insurance ($16,700) *(Y1-Y4: $8,101 / Y5-Y8: $8,599)*: POA estimates vehicle insurance at $2,025/year for Y5-Y8.

2.9 Indirect Costs – Administration – Total $1,828,368 ($1,320,067 for monetization and $508,301 for CCC) *(Y1-Y4: $1,023,613 / Y5-Y8: $804,755)*: In accordance with POA's most recently approved NICRA, indirect costs are estimated at $1,828,368.

III. Activities

Total Activities Costs $25,137,199 ($23,159,271 in monetization funds and $1,977,928 in cost share)

- **Total Direct Costs: $20,661,082** ($18,683,154 in monetization funds and $1,977,928 in cost share)
- **Total Indirect Costs: $4,476,118** ($4,476,118 in monetization funds, $0 in CCC funds)

Total Activities Costs from inception through Y4:

- **Total Direct Costs: $4,631,120** ($4,013,677 in monetization, $617,443 in cost share)
- **Total Indirect Costs: $1,350,658** ($1,350,658 in monetization, $0 in CCC funds)

Total Activities Costs from Y5-Y8:

- **Total Direct Costs: $16,299,962** ($14,939,477 in monetization, $1,360,485 in cost share)
- **Total Indirect Costs: $3,125,460** ($3,125,460 in monetization, $0 in CCC funds)

Activity 1: Value Chain Development – Total $272,697 ($272,697 in monetization funds and $0 in cost share) *(Total spent in Y1-Y4: $272,697 / Y5-Y8: $0)*

No additional costs are budgeted for Y5-Y8.

Activity 2: Producer Organization Development & Commercialization – Total $2,522,149 ($2,209,930 in monetization and $312,219 in cost share) *(Total spent in Y1-Y4: $559,497 / Y5-Y8: $1,650,433)*

3.2.1 Salaries/Personnel – Total $691,556 *(Y1-Y4: $137,869 / Y5-Y8: $553,687)*

USN/TCN Staff. USN/TCN are budgeted for the COP to remain through Y7 of the project. The COP is an expatriate who has led the C4D Project during the last 3.5 years and holds the necessary experience and technical expertise. The COP is responsible for preparing reports and work plans, aligning project initiatives with in-country priorities, and ensuring project compliance with federal regulations. The COP's salary is distributed between Administrative and Activities. A 5% annual increase through LOP is added to account for annual salary increases.

CCN Staff. The majority of CCN staff are budgeted to remain on the project throughout the LOP. Proposed salary rates are in line with market research and local in-country consultations. A 5% annual increase through LOP is added to account for annual salary increases.

3.2.2 Fringe Benefits – Total $349,355 *(Y1-Y4: $53,269 / Y5-Y8: $296,087)*

Benefits for USN/TCN staff are calculated at **56.47%** of the employee's base salary **($53,977**). CCN staff benefits are budgeted at **53.864%** of the employee's base salary for salaries over $3,500/month **($133,157)** and **44.86%** for salaries below $3,500/month **($94,615)**. USN/TCN Post Hardship Differential for the COP are calculated at **15%** of their total salary **($14,338)**.

3.2.3 Travel – Total $41,427 *(Y1-Y4: $9,944 / Y5-Y8: $31,483)*

Local Travel ($18,654) *(Y1-Y4: $6,404 / Y5-Y8: $18,654)*: Based on market rates and in-country implementing experience, POA estimates $18,654 in local transportation (domestic airfare and/or ground transportation) for project staff to conduct trainings and data collection visits at $300/trip for 39 trips.

Per Diem ($22,772) *(Y1-Y4: $3,540 / Y5-Y8: $19,233)*: Based on market rates and in-country implementing experience, POA estimates $19,233 in lodging and M&IE for project staff to conduct 39 trainings and data collection visits for an average of 3 days per trip at $157/day for 117 days.

3.2.4 Professional Services/Contractual – Total $1,002,593 *(Y1-Y4: $358,416 / Y5-Y8: $644,177)*

Subrecipient: Training for Producer Organizations ($1,002,593) *(Y1-Y4: $358,416 / Y5-Y8: $644,177)*: POA budgeted $644,177 for subrecipient, IC Fundación with UEI # C1JUV75SPCP6, to scale up capacity building activities and support for 24 producer organizations. POA has selected IC Fundación based upon their relevant experience, local reputation, cost efficiencies, ability to deliver on a technical front, and excellent performance implementing a sub-award under the current award.

3.2.5 Other – Total $125,000 *(Y1-Y4: $0 / Y5-Y8: $125,000)*

Small Grants ($125,000) *(Y1-Y4: $0 / Y5-Y8: $125,000)*: POA will issue $25,000 grants to support 5 producer organizations to strengthen their organizational business plans for a total of $125,000. The total dollar value of the grant fund pool will remain the same, however POA may increase or decrease funding levels of each grant or the number of grants based on proposals submitted.

3.2.6 Cost Share – Total $312,219 *(Y1-Y4: $12,219 / Y5-Y8: $300,000)*

IC Fundación will structure and directly disburse credit resources to organizations that reach a certain level of business development, previously agreed with the C4D project for a value of $300,00 in cost share. IC Fundación has set aside these funds to benefit C4D producer organizations with loans after having successfully gone through the C4D Producer Org Strengthening process (2-year training).

Activity 3: Agriculture Extension and Production Support – Total $8,409,015 ($7,469,425 in monetization and $939,591 in cost share) *(Total spent in Y1-Y4: $1,977,754 / Y5-Y8: $5,491,670)*

3.3.1 Salaries/Personnel – Total $3,208,058 *(Y1-Y4: $906,866 / Y5-Y8: $2,301,193)*:

USN/TCN Staff. USN/TCN are budgeted for the COP to remain through Y7 of the project. The COP is an expatriate who has led the C4D Project during the last 3.5 years and holds the necessary experience and technical expertise. The COP is responsible for preparing reports and work plans, aligning project initiatives with in-country priorities, and ensuring project compliance with federal regulations. The COP's salary is distributed between Administrative and Activities. A 5% annual increase through LOP is added to account for annual salary increases.

CCN Staff. The majority of CCN staff are budgeted to remain on the project throughout the LOP. Proposed salary rates are in line with market research and local in-country consultations. A 5% annual increase through LOP is added to account for annual salary increases.

3.3.2 Fringe Benefits – Total $1,476,831 *(Y1-Y4: $397,898 / Y5-Y8: $1,078,933)*:

Benefits for USN/TCN staff are calculated at **56.47%** of the employee's base salary **($49,148)**.

CCN staff benefits are budgeted at **53.864%** for salaries over $3,500/month **($139,866)** and **44.86%** for salaries below $3,500/month **($876,863)**. USN/TCN Post Hardship Differential for the COP are calculated at **15%** of their total salary **($13,055)**.

3.3.3 Travel – Total $898,399 *(Y1-Y4: $349,085 / Y5-Y8: $549,314)*:
Local Travel ($500,683) *(Y1-Y4: $172,875 / Y5-Y8: $327,898)*: POA estimates $323,263 in local transportation (domestic airfare and/or ground transportation) for project staff to conduct training and data collection visits at $650/trip. In addition, POA estimates $250/participant for stipends for the Cacao and Complementary Crop Farmer Boot Camps for Y5-Y8, for a total of $70,236. Finally, POA estimates $107,184 for local transportation, lodging and stipends at $4,200/participant for students of the Cacao Extensionist Training Program. The stipends will help cover travel costs and participants' time. The amount is based on entry-level salary for extension agents in Colombia. The monthly rate is expected to cover monthly costs for 3 months that include $400/month in transportation, $570/month in lodging, and $430/month in M&IE.

Motorcycle & Vehicle Fuel Expenses ($237,875) *(Y1-Y4: $125,497 / Y5-Y8: $112,378)*: Vehicle fuel for technical leads and motorcycle fuel for motorcycles used by the project's Extension Agents under this activity is estimated at $3,000/month for 12 months in Y5-Y7.

Each of the 45 extension agents paid by the project owns a motorcycle and receives a motorcycle stipend (mileage including fuel, maintenance, tolls, etc) of $67/month for each extension agent under this Activity. A smaller additional amount is included for Extension Agent fuel expenses under Activity 4 in accordance with LOE.

Per Diem ($159,842) *(Y1-Y4: $50,803 / Y5-Y8: $109,039)*: POA estimates $109,039 in lodging and M&IE for project staff to conduct training and data collection visits, estimated at $157/day for 216 days (average of 3 days per trip) in Y5-Y7 and 177 days in Y8.

3.3.4 Professional Services/Contractual – Total $777,950 *(Y1-Y4: $242,419 / Y5-Y8: $535,531)*
Subrecipient: Digital Extension tools/GIS ($20,000) *(Y1-Y4: $20,000 / Y5-Y8: $0)*: No additional costs are budgeted for Y5-Y8.

Digital Training Partnership ($207,031) *(Y1-Y4: $94,000 / Y5-Y8: $113,031)*: POA budgeted $73,031 to contract a firm to update and expand POA's digital extension platform to amplify the C4D extension approach. POA is also budgeting $20,000/year in Y6 and Y7 to secure long-term hosting and maintenance of the digital extension platforms after the end of the project, ensuring their continued use and relevance.

New Carbon Partnerships ($10,000) *(Y1-Y4: $10,000 / Y5-Y8: $0)*: No additional costs are budgeted for Y5-Y8.

Other New Partnerships ($25,000) *(Y1-Y4: $25,000 / Y5-Y8: $0)*: No additional costs are budgeted for Y5-Y8.

Cacao Food Safety, Traceability, and Risk Management (& Organic Carmenta Trap Initiative) ($264,685) *(Y1-Y4: $37,685 / Y5-Y8: $227,000)*: POA budgeted $202,000 in Y5 of

which $117,000 are to implement a contract to analyze the cadmium and lead levels in the soil and dry beans of target C4D organizations, and $85,000 will be used to develop a biodegradable cacao pod sleeve pilot to protect pods against pests. POA is also budgeting $25,000 in Y6 for new partnerships related to cacao food safety, traceability, and risk management.

Complementary Crops Food Safety, Traceability, and Risk Management ($81,234) *(Y1-Y4: $55,734 / Y5-Y8: $25,500)*: Based on in-country implementation experience, POA budget $25,500 in Y5 to establish 3 additional complementary crop demonstration plots within beneficiary producer organizations. Costs include the procurement of water pump, pipes, water filters, drip irrigation, and accessories.

Contract for Local Organization to Support Capacity Building for EPSEAs ($75,000) *(Y1-Y4: $0 / Y5-Y8: $75,000)*: POA budgeted $25,000/year in Y5-Y7 to contract a local firm to support with capacity building activities for EPSEAs to address sustainability gaps.

Contract to Strengthen Fedecacao Extension Services ($60,000) *(Y1-Y4: $0 / Y5-Y8: $60,000)*: POA budgeted $20,000/year to contract experts in Y5-Y7 to strengthen Fedecacao's capacity to provide high-quality extension for cacao farmers.

Consultant and Legal Fees for Diagnostic and Mapping of EPSEAs ($35,000) *(Y1-Y4: $0 / Y5-Y8: $35,000)*: POA budgeted $35,000 in Y5 for a firm to conduct a mapping and diagnosis of existing EPSEAs with the potential to adopt C4D's extension model.

3.3.5 Supplies – Total $725,586 *(Y1-Y4: $56,486 / Y5-Y8: $669,100)*

Seedstock for Private Nurseries ($56,486) *(Y1-Y4: $56,486 / Y5-Y8: $0)*: No additional costs are budgeted for Y5-Y8.

Cacao Seedlings for Farmers (Cacao Crop Renewal) ($255,300) *(Y1-Y4: $0 / Y5-Y8: $255,300)*: POA budgeted $1,380/farmer for 125 farmers in Y5 and 60 farmers in Y7 to implement a cacao crop renewal initiative for C4D producers.

Plantain Seedlings for Farmers ($255,300) *(Y1-Y4: $0 / Y5-Y8: $255,300)*: POA budgeted $1,380/farmer for 125 farmers in Y6 and 60 farmers in Y7 to implement introduce plantains to their farms.

Printing Extension Tools for Cacao and Complementary Crops ($10,000) *(Y1-Y4: $0 / Y5-Y8: $10,000)*: Based on market rates, POA budgeted $10,000 in Y5 to print crop-specific cultivation calendars for Tabasco peppers and plantains. This includes the printing of 1,500 Farm Management Tools at a rate of $2/each and 1,500 waterproof cultivation calendars at $4.70/each.

Installation of Tanks and Irrigation Systems ($148,500) *(Y1-Y4: $0 / Y5-Y8: $148,500)*: Based on market rates, POA budgeted $2,475/unit for 20 units per year in Y5-Y7 to provide modern irrigation systems for farmers tailored to cacao and plantain crops to enhance crop yield.

3.3.6 Other – Total $382,600 *(Y1-Y4: $25,000 / Y5-Y8: $357,600)*

The total dollar value of the grant fund will remain the same, however POA may increase or

decrease funding levels of each grant or the number of grants based on proposals submitted. These estimates are the approximate value for each award.

Nursery Start-Up Grants for Producer Organizations ($25,000) *(Y1-Y4: $25,000 / Y5-Y8: $0)*: No additional costs are budgeted for Y5-Y8.

Grants for Biofertilizer Program ($252,000) *(Y1-Y4: $0 / Y5-Y8: $252,000)*: POA is budgeting $9,000/grant for 28 grants in Y5 for the establishment of biofertilizer stations in producer organizations.

Grant to Strengthen Fedecacao ($30,000) *(Y1-Y4: $0 / Y5-Y8: $30,000)*: POA is budgeting $10,000/grant for an annual grant in Y5-Y7 to support Fedecacao integrate the systems developed by the project, provide them with key tools, and standardize the Federation's metric and data analysis framework.

Boot Camp for Cacao Farmers for 1-Week Training ($37,800) *(Y1-Y4: $0 / Y5-Y8: $37,800)*: POA is budgeting $280/participant for 45 participants per year in Y5-Y7 to cover round trip ground transportation ($250) and lodging ($30) for a One-Week Training Camp for C4D Farmers on the Yariguíes farm to help promising farmers reach the next segmentation level.

Training for Producer and Representatives on Cacao and Complimentary Crops ($37,800) *(Y1-Y4: $0 / Y5-Y8: $37,800)*: POA is budgeting $280/participant for 45 participants per year in Y5-Y7 to cover round trip ground transportation ($250) and lodging ($30) for a One-Week Training Camp for C4D Farmers on the Yariguíes farm on complementary crops.

3.3.7 Cost Share – Total $939,591 (Y1-Y4: $138,091 / Y5-Y8: $801,500)

Luker Chocolate Donations ($122,944) *(Y1-Y4: $32,944 / Y5-Y8: $90,000)*: Luker Chocolate will contribute to C4D's Extension Strategy by donating staff time of 1 Analyst, 1 Coordinator, 2 Supervisors, and 1 Specialist. Luker will also donate office space, travel costs during M&E visits, and cacao plants for farmers, and will cover 50% of the cacao farm tool costs for producers.

Timesheets are submitted each quarter signed by the employee and supervisor certifying hours worked for the project. The actual salary earned by each employee is used in accordance with the level of effort dedicated to the project. Office space is calculated based on the total hours employees dedicated per month to the project.

Fundación Nutresa Donations ($136,647) *(Y1-Y4: $ 105,147 / Y5-Y8: $31,500)*: Fundación Nutresa will contribute a cash donation to cover the costs of 4 additional extension agents.

Nacional de Chocolates Donations ($680,000) *(Y1-Y4: $0 / Y5-Y8: $680,000)*: Compañia Nacional de Chocolates will contribute $170,000 annually through the staff time of 5 Rural Development Analysts to contribute to C4D's Extension Strategy, donating office space, travel costs, trainings, and cacao plants to C4D farmers.

Timesheets are submitted each quarter signed by the employee and supervisor certifying hours worked for the project. The actual salary earned by each employee is used in accordance with the level of effort dedicated to the project. Office space is calculated based on the total hours employees dedicated per month to the project. Travel costs, trainings, and cacao seedlings are valued based on market rates and actual expenses.

Activity 4: Post-Harvest Aggregation & Processing – Total $2,134,197 ($1,992,268 in monetization and $141,929 in cost share) *(Total spent in Y1-Y4: $699,861 / Y5-Y8: $1,290,080)*

3.4.1 Salaries/Personnel – Total $703,071 *(Y1-Y4: $183,440 / Y5-Y8: $519,630)*
USN/TCN Staff. USN/TCN are budgeted for the COP to remain through Y7 of the project. The COP is an expatriate who has led the C4D Project during the last 3.5 years and holds the necessary experience and technical expertise. The COP is responsible for preparing reports and work plans, aligning project initiatives with in-country priorities, and ensuring project compliance with federal regulations. The COP's salary is distributed between Administrative and Activities. A 5% annual increase through LOP is added to account for annual salary increases.

CCN Staff. The majority of CCN staff are budgeted to remain on the project throughout the LOP. Proposed salary rates are in line with market research and local in-country consultations. A 5% annual increase through LOP is added to account for annual salary increases.

3.4.2 Fringe Benefits – Total $350,945 *(Y1-Y4: $73,491 / Y5-Y8: $277,454)*
Benefits for USN/TCN staff are calculated at **56.47%** of the employee's base salary **($49,148)**. CCN staff benefits are budgeted at **53.864%** for salaries over $3,500/month **($126,702)** and **44.86%** for salaries below $3,500/month **($88,549)**. USN/TCN Post Hardship Differential for the COP are calculated at **15%** of their total salary **($13,055)**.

3.4.3 Travel – Total $62,438 *(Y1-Y4: $17,115 / Y5-Y8: $45,323)*
Local Travel ($23,626) *(Y1-Y4: $10,363 / Y5-Y8: $13,263)*: Based on market rates and in-country implementing experience, POA estimates $13,263 in local transportation for project staff to conduct training and data collection at $300/trip for 12 trips in Y5-Y7 and 6 trips in Y8.

Motorcycle and Vehicle Fuel Expenses ($11,688) *(Y1-Y4: $450 / Y5-Y8: $11,238)*: Vehicle fuel for technical leads ($75/month for 1 technical lead) and motorcycle fuel for motorcycles used by the project's Extension Agent under this activity ($5/month for 45 Extension Agents) is estimated at $300/month for 12 months in Y5-Y7.

Per Diem ($27,124) *(Y1-Y4: $6,302 / Y5-Y8: $20,822)*: POA estimates $20,822 in lodging and M&IE for trainings, estimated at $157/day for one 3-day trip per month.

3.4.4 Professional Services/Contractual – Total $641,399 *(Y1-Y4: $221,399 / Y5-Y8: $420,000)*
Agrosavia ($228,092) *(Y1-Y4: $188,092 / Y5-Y8: $40,000)*: POA is budgeting $40,000 in Y5 for the continuation of two active agreements with Agrosavia: $13,082 correspond to fermentation

station modelling software and $26,918 for the establishment of fermentation protocols based on sensory profiles in 3 target departments.

New Partnerships in Post-Harvest Aggregation & Processing and Traceability ($38,307) *(Y1-Y4: $33,307 / Y5-Y8: $5,000)*: POA budgeted $5,000 in new partnerships in post-harvest aggregation and processing in Y5.

Contract for Cacao Fermentation Control Technology & Cacao of Excellence Standards ($300,000) *(Y1-Y4: $0 / Y5-Y8: $300,000)*: POA will contract an organization such as the International Center for Tropical Agriculture (CIAT) to adapt an innovative technology to support cacao fermentation control. This contract will also include the consolidation of the Cacao for Excellence standards in Colombia. POA is budgeting $150,000/year in Y5 and Y6.

Contract to Fine Chocolate Industry Association (FCIA) for Positioning for Cacao and Visibility ($75,000) *(Y1-Y4: 0 / Y5-Y8: $75,000)*: POA will contract FCIA or similar organization to reinforce Colombia as a source of fine flavor cacao and establish commercial links for Colombian suppliers. POA is budgeting $25,000/year in Y5-Y7.

3.4.5 Other – Total $234,415 (Y1-Y4: $204,415 / Y5-Y8: $30,000)

Grant Fund to Strengthen Small Processors and Aggregators ($204,415) *(Y1-Y4: $204,415 / Y5-Y8: $0)*: No additional costs are budgeted for Y5-Y8.

Support for Local Fine Flavor Cacao Competitions ($30,000) *(Y1-Y4: $0 / Y5-Y8: $30,000)*: POA will continue supporting local fine flavor competitions such as *Cacao de Oro* ("Golden Cacao"), part of Colombia's domestic efforts to position itself as a source of fine flavor cacao. POA is budgeting $10,000/year in Y5-Y7.

C4D will contribute to this local competition by covering the costs of obtaining the samples, sample transportation, lab analysis of samples for cadmium detection, and flavor panel tasting. C4D will pay these costs directly to the lab/providers. This contribution allows smaller producers to enter international markets considering that these lab analyses are too costly for them to fund.

3.4.6 Cost-Share – Total $141,929 (Y1-Y4: $32,944 / Y5-Y8: $108,985)

Agrosavia *(Y1-Y4: $32,944 / Y5-Y8: $90,000)*: Agrosavia will contribute staff time of a Leader Investigator (PhD), 2 Investigators (PhD), Investigator (Master's), Investigator, and 4 Support Professionals for the fermentation center activity, Agrosavia will also donate the time of 4 Investigators (PhD), 2 Investigators (Master's), and 4 Support Professionals for the sensory profiles activity. Agrosavia will also donate the use of laboratory facilities for the activities.

Timesheets are submitted each quarter signed by the employee and supervisor certifying hours worked for the project. The actual salary earned by each employee is used in accordance with the level of effort dedicated to the project. Laboratory space is valued based on market rates.

Fedecacao Donations for Cacao Crop Renewal Program *(Y1-Y4: $0 / Y5-Y8: $18,985)*: Fedecacao will contribute to C4D's Cacao Crop Renewal Program by donating staff time of 4 Field Agents and 3 Field Supervisors overseeing day-to-day activities and managing activities on

the ground. Fedecacao will also donate cacao plants for the Cacao Crop Renewal Program.

Timesheets are submitted each quarter signed by the employee and supervisor certifying hours worked for the project. The actual salary earned by each employee is used in accordance with the level of effort dedicated to the project.

Activity 5: Ensure Financial Service/Capital Access for Actors in the Value Chains – Total $1,689,363 ($1,105,174 in monetization and $584,190 in cost share) *(Total spent in Y1-Y4: $206,250 / Y5-Y8: $898,923)*

3.5.1 Salaries/Personnel – Total $563,772 *(Y1-Y4: $86,899 / Y5-Y8: $476,873)*
USN/TCN Staff. USN/TCN are budgeted for the COP to remain through Y7 of the project. The COP is an expatriate who has led the C4D Project during the last 3.5 years and holds the necessary experience and technical expertise. The COP is responsible for preparing reports and work plans, aligning project initiatives with in-country priorities, and ensuring project compliance with federal regulations. The COP's salary is distributed between Administrative and Activities. A 5% annual increase through LOP is added to account for annual salary increases.

CCN Staff. The majority of CCN staff are budgeted to remain on the project throughout the LOP. Proposed salary rates are in line with market research and local in-country consultations. A 5% annual increase through LOP is added to account for annual salary increases.

3.5.2 Fringe Benefits – Total $292,295 *(Y1-Y4: $33,495 / Y5-Y8: $258,801)*
Benefits for USN/TCN staff are calculated at **56.47%** of the employee's base salary **($58,805)**. CCN staff benefits are budgeted at **53.864%** for salaries over $3,500/month **($102,639)** and **44.86%** for salaries below $3,500/month **($81,737)**. USN/TCN Post Hardship Differential for the COP are calculated at **15%** of their total salary **($15,620)**.

3.5.3 Travel – Total $3,704 *(Y1-Y4: $3,704 / Y5-Y8: $0)*
No additional costs are budgeted for Y5-Y8.

3.5.4 Professional Services/Contractual – Total $84,500 *(Y1-Y4: $0 / Y5-Y8: $84,500)*
POA budgeted $74,500 in Y5 to contract an incubator/business accelerator firm to support target producers grow their agricultural entrepreneurships to access financing. POA also budgeted $5,000/month for 2 months in Y5 to contract a firm to integrate C4D's farm segmentation data into a digital bankability tool to increase farmer access to finance.

3.5.5 Other – Total $160,902 *(Y1-Y4: $82,152 / Y5-Y8: $78,750)*
Small Grants ($16,000) *(Y1-Y4: $16,000 / Y5-Y8: $0)*: No additional costs budgeted for Y5-Y8.

Cacao Insurance ($144,902) *(Y1-Y4: $66,152 / Y5-Y8: $180,000)*: POA budgeted $45,000 in Y5 to expand cacao parametric insurance coverage to new producers and to subsidize the premiums for producers renewing their policies under a financing scheme. POA also budgeted $22,500 in Y6 and $11,250 in Y7 for this initiative, gradually transferring the costs to producers/producer organizations each year to ensure the sustainability of the intervention.

3.5.6 Cost-Share – Total $584,190 *(Y1-Y4: $434,190 / Y5-Y8: $150,000)*
Expand Cacao Crop Insurance Coverage (*Cacao Seguro*) - Policy Cost: FINAGRO will contribute $150,000 to subsidize 80-90% of premiums for each crop insurance provided through *Cacao Seguro* for C4D farmers through its Agricultural Insurance Incentive. POA will issue policies for C4D producers and will assist in renewals through financing schemes.

Activity 6: Innovation and Job Creation Through Youth – Total $819,624 ($819,624 in monetization and $0 in cost share) *(Total spent in Y1-Y4: $275,001 / Y5-Y8: $543,102)*

3.6.1 Salaries/Personnel – Total $179,026 *(Y1-Y4: $89,046 / Y5-Y8: $89,980)*
USN/TCN Staff. USN/TCN are budgeted for the COP to remain through Y7 of the project but will run only through Y5 under this Activity. The COP is an expatriate who has led the C4D Project during the last 3.5 years and holds the necessary experience and technical expertise. The COP is responsible for preparing reports and work plans, aligning project initiatives with in-country priorities, and ensuring project compliance with federal regulations. The COP's salary is distributed between Administrative and Activities. A 5% annual increase through LOP is added to account for annual salary increases.

CCN Staff. The majority of CCN staff are budgeted to remain on the project throughout the LOP but will run only through Y5 under this Activity. Proposed salary rates are in line with market research and local in-country consultations. A 5% annual increase through LOP is added to account for annual salary increases.

3.6.2 Fringe Benefits – Total $83,298 *(Y1-Y4: $34,862 / Y5-Y8: $48,436)*
Benefits for USN/TCN staff are calculated at **56.47%** of the employee's base salary **($9,656)**. CCN staff benefits are budgeted at **53.864%** for salaries over $3,500/month **($21,053)** and **48.86%** for salaries below $3,500/month **($15,162)**. USN/TCN Post Hardship Differential for the COP are calculated at **15%** of their total salary **($2,565)**.

3.6.3 Travel – Total $89,129 *(Y1-Y4: $47,604 / Y5-Y8: $41,525)*
No additional costs are budgeted for Y5-Y8.

3.6.4 Professional Services/Contractual – Total $98,459 *(Y1-Y4: $38,590 / Y5-Y8: $59,869)*
POA included expenses for a youth logistics/travel coordinator consultant at a rate of $3,750/month for 2 months in Y5 to provide logistical and in-country support for the international youth exchanges under this Activity. POA is also budgeting $52,369 in Y5 to continue the contract with the local firm, SociaLab, providing business counseling to the youth agribusiness initiative implemented in Y4-Y5.

3.6.5 Supplies – Total $11,000 *(Y1-Y4: $7,600 / Y5-Y8: $3,400)*
POA budgeted $800 to cover room rental and food for pre-trip orientations in Y5 for young agriculture entrepreneurs. POA also budgeted $1,600 in Y5 for room rental and board for the post-trip debrief sessions for young agriculture entrepreneurs. Additionally, POA budgeted $1,000 for communication and promotional fees for the grant RFAs.

3.6.6 Other – Total $358,713 *(Y1-Y4: $57,300 / Y5-Y8: $301,413)*

POA budgeted $181,413 in Y5 for grants under the U.S. Department of State 100,000 Strong in the Americas Program to support Higher Education Institution students fund niche cacao and underutilized value chain market research. POA is also budgeting 4 grants at $30,000/grant in Y5 for Youth Agribusiness Impact Investing. The total dollar value of the grant fund pool will remain the same, however POA may increase or decrease funding levels of each grant or the number of grants based on proposals submitted. These estimates are the approximate value for each award.

Activity 7: Regional Community Practice – Total $1,274,251 ($1,274,251 in monetization and $0 in cost share). *(Y1-Y4: $326,183; Y5-Y8: $948,069)*

3.7.1 Salaries/Personnel – Total $514,702 *(Y1-Y4: $109,577 / Y5-Y8: $405,125)*
USN/TCN Staff. USN/TCN are budgeted for the COP to remain through Y7 of the project. The COP is an expatriate who has led the C4D Project during the last 3.5 years and holds the necessary experience and technical expertise. The COP is responsible for preparing reports and work plans, aligning project initiatives with in-country priorities, and ensuring project compliance with federal regulations. The COP's salary is distributed between Administrative and Activities. A 5% annual increase through LOP is added to account for annual salary increases.

CCN Staff. The majority of CCN staff are budgeted to remain on the project throughout the LOP. Proposed salary rates are in line with market research and local in-country consultations. A 5% annual increase through LOP is added to account for annual salary increases.

3.7.2 Fringe Benefits – Total $261,893 *(Y1-Y4: $43,446 / Y5-Y8: 218,446)*
Benefits for USN/TCN staff are calculated at **56.47%** of the employee's base salary **($49,148)**. CCN staff benefits are budgeted at **53.864%** for salaries over $3,500/month **($81,006)** and **44.86%** for salaries below $3,500/month **($75,239)**. USN/TCN Post Hardship Differential for the COP are calculated at **15%** of their total salary **($13,055)**.

3.7.3 Travel – Total $174,781 *(Y1-Y4: $29,786 / Y5-Y8: $144,995)*
International Travel ($10,192) *(Y1-Y4: $0 / Y5-Y8: $10,192)*: POA budgeted 2 international (airfare) annually at $1,200/trip for the C4D CoP and relevant staff to attend cacao conferences and forums, including the World Cocoa Foundation, Chocoa Conference, and International Coffee and Cocoa Conference.

Local Travel ($146,806) *(Y1-Y4: $29,786 / Y5-Y8: $117,020)*: POA budgeted $200/monthly in local transportation costs in Y5-Y8 for staff to attend meetings with the National Cacao Council, including working groups and steering committees ($20,915). Based on market rates and in-country implementing experience, POA also budgeted transportation costs (domestic airfare and ground transportation) for 2 trips per year at $300/trip for staff and representatives to attend cacao conferences and forums ($2,548). Additionally, POA included travel stipends for 10 young Colombian producers to participate in forums, conferences, and international exchanges in Y6 and Y7 at $10,000/cohort/trip ($123,343). This rate includes round trip airfare ($6,000), lodging ($2,600), and per diem and other travel related costs ($1,400) for a total of 4 days per trip.

Per Diem ($17,784) *(Y1-Y4: $0 / Y5-Y8: $17,784)*: POA budgeted lodging and M&IE for staff to attend cacao conferences, forums, and key meetings at $349/day ($99 reduced M&IE rate and

$250 lodging) and 12 days per year.

3.7.4 Professional Services/Contractual – Total $14,477 *(Y1-Y4: $6,977 / Y5-Y8: $7,500)*
POA budgeted $2,500/year for technical support and updates to the Community of Practice platform in Y5-Y7.

3.7.5 Other – Total $308,397 *(Y1-Y4: $136,397 / Y5-Y8: $172,000)*
RCP Events & Conferences ($291,397) *(Y1-Y4: $136,397 / Y5-Y8: $155,000)*: POA budgeted $80,000 in Y5, $50,000 in Y6, and $25,000 in Y8, to cover materials, travel, and other resources necessary for the RCP events and conferences.

Booth for International Communities of Practice Events ($5,000) *(Y1-Y4: $0 / Y5-Y8: $5,000)*: POA estimates $5,000 to reserve a booth at a global cacao forum or conference in Year 7 to bring visibility and international recognition to Colombian cacao.

Registration for International Communities of Practice Events ($12,000) *(Y1-Y4: $0 / Y5-Y8: $12,000)*: POA budgeted $1,500/participant in registration fees for 2 staff members to attend key global cacao forums and conferences annually.

Activity 8: Financial Services: Investment Vehicle Establishment, Fundraising and Management – Total $3,539,785 ($3,539,785 in monetization and $0 in cost share) *(Y1-Y4: $313,877; Y5-Y8: $3,539,785)*

3.8.1 Salaries/Personnel – Total $242,685 *(Y1-Y4: $130,182 / Y5-Y8: $112,503)*
USN/TCN Staff. USN/TCN are budgeted for the COP to remain through Y7 of the project but only run through Y5 under this Activity. The COP is an expatriate who has led the C4D Project during the last 3.5 years and holds the necessary experience and technical expertise. The COP is responsible for preparing reports and work plans, aligning project initiatives with in-country priorities, and ensuring project compliance with federal regulations. The COP's salary is distributed between Administrative and Activities. A 5% annual increase through LOP is added to account for annual salary increases.

CCN Staff. The majority of CCN staff are budgeted to remain on the project throughout the LOP but only run through Y5 under this Activity. Proposed salary rates are in line with market research and local in-country consultations. A 5% annual increase through LOP is added to account for annual salary increases.

3.8.2 Fringe Benefits – Total $124,892 *(Y1-Y4: $63,986 / Y5-Y8: $60,905)*
Benefits for USN/TCN staff are calculated at **56.47%** of the employee's base salary **($14,485)**. CCN staff benefits are budgeted at **53.864%** for salaries over $3,500/month **($21,592)** and **44.86%** for salaries below $3,500/month **($20,982)**. USN/TCN Post Hardship Differential for the COP are calculated at **15%** of their total salary **($3,848)**.

3.8.3 Travel – Total $6,500 *(Y1-Y4: $5,000 / Y5-Y8: $1,500)*
Local Travel ($6,500) *(Y1-Y4: $5,000 / Y5-Y8: $1,500)*: POA estimates attending approximately 60 meetings with project stakeholders, board members, and potential funders to contribute to

establishing and running the C4D investment vehicle. POA estimates spending $25/trip on local transportation, for a total of $1,500.

3.8.4 Professional Services/Contractual – Total $165,708 *(Y1-Y4: $114,708 / Y5-Y8: $51,000)*
POA will hire an investment vehicle fundraising consultant at a rate of $5,000/month for 3 months in Y5, for a total of $20,000. POA will contract a Colombian legal advisor at a rate of $6,000/month for 6 months in Y5 to establish good procedures for the investment vehicle governance, for a total of $36,000.

3.8.5 Other – Total $3,000,000 *(Y1-Y4: $0 / Y5-Y8: $3,000,000)*
POA will provide $3,000,000 as seed funding for the Investment Vehicle in Y5.